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CUET UG

Accountancy

Reconstitution of a Partnership Firm

Official Syllabus Unit II · Class 12 · CUET UG 2027 Cycle Notes

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Syllabus Alignment

Sub-topic	Official syllabus pointer (NTA CUET(UG) Accountancy syllabus 2026, the current 2027 baseline, Unit II)	Skills the questions test
Changes in profit-sharing ratio	Changes in profit sharing ratio among the existing partners – Sacrificing ratio and Gaining ratio	Computing both ratios partner-by-partner and spotting exactly who gains and who gives up.
Revaluation & reserves	Accounting for Revaluation of Assets and reassessment of Liabilities and Distribution of reserves and accumulated profits	Preparing the Revaluation Account, passing its entries, distributing reserves in the old ratio.
Goodwill	Goodwill: Nature, Factors affecting and Methods of valuation: Average profit, Super profit and Capitalisation methods	Choosing the right valuation method and computing goodwill with clean, verified arithmetic.
Admission of a Partner	Admission of a Partner: Effect of admission of partner, Change in profit sharing ratio, Accounting treatment for goodwill, Revaluation of assets and reassessment of liabilities, Reserves adjustment/distribution of (accumulated profits) and adjustment of capitals	Passing the full admission entry set: premium, revaluation, reserves and proportionate capitals.
Retirement / Death	Retirement/Death of a Partner: Change in profit sharing ratio, Accounting treatment of goodwill, Revaluation of assets and reassessment of liabilities, Adjustment of Accumulated profits (Reserves) , Preparation of deceased partner's capital account and his executor's account, Preparation of Loan Account	Building the retiring partner's claim, the executor's account and the loan account with interest.

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EXAM PATTERN

CUET UG pattern (NTA official information bulletin and syllabus, 2026 cycle — the current 2027 baseline): each subject paper carries **50 compulsory questions** in **60 minutes**, with +5 for every correct answer and −1 for every incorrect answer. The Accountancy paper (subject code 301) maps strictly to NCERT Class 12, and Unit II builds directly on Unit

I (Accounting for Partnership) — the capital accounts, current accounts and appropriation habits you learned there return here as the machinery of every reconstitution entry.

Changes in the Profit-Sharing Ratio

Three friends share a firm's profit in a fixed ratio. One day they re-cut the ratio — nobody joins, nobody leaves, the firm itself continues exactly as before. That single change is a **reconstitution**: the firm's agreement is rewritten while the firm survives. The old ratio dies, a new ratio is born, and between the two sits one question that drives every entry in this chapter: **who gave up what, and to whom?**

- **Reconstitution keeps the firm alive:** only the **terms** change. In dissolution the firm closes; in reconstitution it simply runs on fresh terms.
- **Every reconstitution touches the ratio:** admission, retirement, death, or a plain change in profit-sharing ratio among existing partners.
- **Old partners compare old with new:** the share a partner **gives up** is his **sacrifice**; the share he **picks up** is his **gain**.
- **Sacrificers receive, gainers pay:** goodwill compensation always flows from the gaining partner to the sacrificing partner — never the other way round.

Sacrificing ratio and gaining ratio

THE TWO RATIOS OF RECONSTITUTION

$$\text{Sacrificing share} = \text{Old share} - \text{New share}$$

$$\text{Gaining share} = \text{New share} - \text{Old share}$$

$$\text{Sacrificing ratio} = \text{Ratio of the sacrifices, partner by partner}$$

$$\text{Gaining ratio} = \text{Ratio of the gains, partner by partner}$$

Compute **each partner separately**. A positive difference means sacrifice; a negative difference means gain. The sacrifices must exactly equal the gains — that equality is your free checking tool in the exam.

WORKED EXAMPLE — READING THE SHIFT, PARTNER BY PARTNER

A, B and C share profits 5 : 3 : 2. They change to 3 : 2 : 1. Who moved?

Partner	Old share	New share	Sacrifice / Gain
A	$5/10 = 1/2$	$3/6 = 1/2$	**Nil** — exactly even
B	$3/10$	$2/6 = 1/3$	$1/3 - 3/10 =$ **+1/30 gain**

Partner	Old share	New share	Sacrifice / Gain
C	$2/10 = 1/5$	$1/6$	$1/5 - 1/6 =$ **1/30 sacrifice**

- **Check the balance:** B's gain (1/30) = C's sacrifice (1/30). ✓
- **Money follows the ratio:** if the firm's goodwill is valued at ₹90,000, the gaining partner B compensates the sacrificing partner C: $90{,}000 \times 1/30 =$ **₹3,000**, passed through their capital accounts.
- **Notice A:** his share did not move, so he neither pays nor receives — a partner can sit completely still inside a ratio change.

- **Sacrifice, not the new ratio, sets the payment:** goodwill compensation is credited to old partners in the **sacrificing ratio** — computing it in the old or the new ratio is the classic error.
- **Where gaining ratio returns:** at retirement and death, the **continuing** partners step into the outgoing partner's shoes — the gaining ratio is how the cost of those shoes is split.

EVERYDAY EXAMPLE — THE CINEMA SEATS

Ten friends-booked seats are held 5, 3 and 2 by A, B and C. The trio re-cuts the booking to 3, 2 and 1. A hands over 2 seats, B hands over 1, and C keeps his 1 — so the 3 freed seats go to C alone. Nobody paid for a seat; what changed is **who holds which seat**. The profit-sharing ratio works the same way: the total share stays 1, only the holding pattern moves, and the partner who picks up the freed share is the one who must compensate the partners who freed it.

Revaluation of Assets and Reassessment of Liabilities

A firm's books record assets at their **book values** — the figures they were brought in at, minus depreciation. Nobody updates them every week. But the moment the partnership is reconstituted, "roughly right" is no longer good enough: the firm's property must show **true values on reconstitution day**, so that the partner leaving or joining is neither gifted value nor short-changed. That updating exercise is the **Revaluation Account** — also called **Profit and Loss Adjustment Account**.

- **Why it exists:** to bring assets and liabilities to their current values **before** the new agreement begins, so that all future profit or loss on them belongs to the new arrangement, not the old.
- **It is a nominal account:** opened on reconstitution day, loaded with increases and decreases, and **closed the same day** — no balance is carried down.
- **Its profit or loss is old partners' money:** every rise and fall adjusted here built up while **only the old partners** were running the firm, so it is shared in the **old ratio**. The incoming partner gets nothing from it.

- **No cash moves:** revaluation only corrects the books; money enters or leaves the firm only through the capital and premium entries.

The Revaluation Account format

Dr. Particulars	₹	Cr. Particulars	₹
To Decrease in value of an asset	—	By Increase in value of an asset	—
To Increase in a liability	—	By Decrease in a liability	—
To Unrecorded liability now brought in	—	By Unrecorded asset now brought in	—
To Profit transferred to old partners' capitals (old ratio)	—	By Loss transferred to old partners' capitals (old ratio)	—

Read the two sides as one sentence: **whatever makes the firm poorer sits on the debit side, whatever makes it richer sits on the credit side.** If the credit side is bigger, the firm has grown richer — a revaluation **profit**. If the debit side is bigger, a revaluation **loss**.

The journal entries behind the account

Event	Debit	Credit
Value of an asset rises	Asset A/c	Revaluation A/c
Value of an asset falls	Revaluation A/c	Asset A/c
A liability increases	Revaluation A/c	Liability A/c
A liability decreases	Liability A/c	Revaluation A/c
An unrecorded asset is found	Asset A/c	Revaluation A/c
An unrecorded liability is found	Revaluation A/c	Liability A/c
Revaluation profit closes	Revaluation A/c	Old partners' Capital A/cs (old ratio)
Revaluation loss closes	Old partners' Capital A/cs (old ratio)	Revaluation A/c

WORKED EXAMPLE — ONE FULL REVALUATION ACCOUNT

A and B share profits 3 : 2. On the date of C's admission the following corrections are agreed:

- **Land & Building:** book value ₹2,00,000, revalued at ₹2,50,000 — **rise ₹50,000**.
- **Machinery:** book value ₹80,000, revalued at ₹72,000 — **fall ₹8,000**.
- **Creditors:** book figure ₹40,000, but a creditor of ₹5,000 is no longer to be paid — **liability falls ₹5,000**.
- **Outstanding rent of ₹2,000 was never recorded — liability rises ₹2,000.**

Revaluation Account

Dr. Particulars	₹	Cr. Particulars	₹
To Machinery A/c	8,000	By Land & Building A/c	50,000
To Outstanding Rent A/c	2,000	By Creditors A/c	5,000
To Profit transferred — A 27,000; B 18,000	45,000		
	55,000		55,000

- **Profit:** credit side 50,000 + 5,000 = 55,000; debit side 8,000 + 2,000 = 10,000; profit = 55,000 − 10,000 = **₹45,000**.
- **Old ratio 3 : 2:** A gets 45,000 × 3/5 = **₹27,000**; B gets 45,000 × 2/5 = **₹18,000**.
- **Closing entry:** Revaluation A/c Dr ₹45,000 — To A's Capital A/c ₹27,000, To B's Capital A/c ₹18,000. The account is then empty and finished.

- **Provision for doubtful debts falls too:** creating or raising a provision reduces the realisable value of debtors, so it is **debited** to Revaluation; releasing an excess provision is **credited**.
- **Do not touch every asset:** only assets and liabilities that actually **change value** appear here. Cash at bank cannot "revalue" — it already shows its true self.

Reserves and Accumulated Profits

The firm has been saving money quietly for years: a General Reserve here, an undistributed profit balance there. All of it was earned while **only the old partners** worked in the firm. So the moment the partnership is reconstituted, these piles must be **handed to their rightful owners** — the old partners, in the **old ratio** — before the new arrangement starts sharing anything.

- **Reserves are old partners' money:** General Reserve, credit balance of P&L and similar accumulated profits belong to the partners who **earned** them.
- **Accumulated losses work in reverse:** a debit balance of P&L is an old partners' burden — it is **debited** to them in the old ratio.
- **Distribution, not transfer:** these amounts are **distributed** (closed out of the books) through the partners' capital or current accounts.
- **Timing:** this distribution happens at **every** reconstitution — admission, retirement, death, or a change in ratio — always in the **old** ratio.

Which item goes where

Item	Who owns it	How it is adjusted
General Reserve	Old partners	Distribute among old partners in the old ratio.

Item	Who owns it	How it is adjusted
P&L Account credit balance	Old partners	Distribute exactly like General Reserve.
P&L Account debit balance (accumulated loss)	Old partners bear it	Debit the old partners in the old ratio.
Workmen Compensation Fund	Old partners, after any claim	Settle the claim first; only the excess is distributed.
Investment Fluctuation Fund	Old partners, after any fall	Meet the fall in investment value first; distribute the excess.

The two special funds

- **Workmen Compensation Fund:** money set aside for possible compensation claims.
  - **Claim equals the fund:** the whole fund goes to the claim; nothing is distributed.
  - **Claim is smaller:** claim is provided, the **excess** (fund − claim) is distributed to old partners in the old ratio.
  - **Claim is bigger:** the whole fund absorbs the claim and the **extra** amount is **debited to the Revaluation Account** — it is a fresh loss on reconstitution day.
- **Investment Fluctuation Fund:** a cushion for a **fall** in the market value of investments.
  - **No fall, or fall smaller than the fund:** the fund (or the leftover part) is distributed to old partners.
  - **Fall equals the fund:** the fund is fully used against the investments; nothing is distributed.
  - **Fall bigger than the fund:** the fund is used up and the **extra fall** is **debited to the Revaluation Account**.

Event	Debit	Credit
General Reserve distributed	General Reserve A/c	Old partners' Capital A/cs (old ratio)
P&L credit balance distributed	Profit & Loss A/c	Old partners' Capital A/cs (old ratio)
Accumulated loss adjusted	Old partners' Capital A/cs (old ratio)	Profit & Loss A/c
WCF: claim arises up to the fund	Workmen Comp. Fund A/c	Claim for Compensation A/c
WCF: fund exceeds claim	Workmen Comp. Fund A/c	Claim A/c + Old partners' Capital A/cs (excess, old ratio)
WCF: claim exceeds fund	Workmen Comp. Fund A/c + Revaluation A/c	Claim for Compensation A/c

Event	Debit	Credit
IFF: fall covered by the fund	Investment Fluctuation Fund A/c	Investments A/c
IFF: fall exceeds the fund	IFF A/c + Revaluation A/c	Investments A/c
IFF: fund exceeds fall	Investment Fluctuation Fund A/c	Investments A/c + Old partners' Capital A/cs

WORKED EXAMPLE — FOUR PILES, ONE OLD RATIO

A and B share profits 3 : 2. On C's admission the books show: General Reserve ₹40,000; P&L credit balance ₹20,000; Workmen Compensation Fund ₹25,000 with a settled claim of ₹19,000; Investment Fluctuation Fund ₹10,000 with investments down ₹14,000 in market value.

- **General Reserve:** A — 40,000 × 3/5 = **₹24,000**; B — 40,000 × 2/5 = **₹16,000**.
- **P&L balance:** A — 20,000 × 3/5 = **₹12,000**; B — 20,000 × 2/5 = **₹8,000**.
- **WCF:** claim ₹19,000 is provided first; excess = 25,000 − 19,000 = ₹6,000 → A ₹3,600, B ₹2,400.
- **IFF:** fall ₹14,000; fund ₹10,000 covers the first ₹10,000; the extra ₹4,000 is **debited to Revaluation A/c** (A −₹2,400, B −₹1,600 in the old ratio).

Every rupee went to A and B alone — C, the incoming partner, receives **nothing** from the firm's past.

Goodwill: Nature, Factors and Valuation

Two chai stalls stand on the same crossing, with the same kettle, the same cups and the same price. One has a queue; the other has an empty bench. The difference is **reputation** — and reputation, in accounts, has a money value. That value is **goodwill**: the benefit a business earns because customers trust it, beyond what its bare assets could earn.

- **Plain-words meaning:** goodwill is the value of a firm's reputation and connections — its power to earn **more than normal profit**.
- **It is an intangible asset:** you cannot touch it, but you can **value** it and record it when it changes hands between partners.
- **Why reconstitution wakes it up:** a new partner buys into the firm's earning power, and a retiring partner sells his slice of it. Both need a number — hence valuation.
- **Goodwill in the books already?** If goodwill appears at an old value, it is **first written off** among all partners in the old ratio, then the fresh valuation takes over.

EVERYDAY EXAMPLE — THE INHERITED TIFFIN SERVICE

A tiffin service run for 15 years sells 200 lunches a day with no advertising — mothers recommend it to other mothers. A newcomer buying the business is not just buying tiffin boxes and a bike; he is buying **the queue**. The extra money he pays over the value of boxes,

bike and stock is exactly what accountants call goodwill: the price of standing in the queue without waiting 15 years.

What pushes goodwill up or down

- **Location:** a shop at a busy crossing beats the same shop down a quiet lane.
- **Time in business:** longer track record builds trust that a newcomer cannot copy.
- **Quality and regularity of profit:** steady profits raise goodwill; jumpy ones lower it.
- **Risk and competition:** a protected, low-risk business carries higher goodwill.
- **Management and contacts:** able partners, loyal staff and exclusive supply deals all add value.
- **Capital needed:** a business earning the same profit with less capital is more valuable.

Method 1: Average profit method

AVERAGE PROFIT METHOD

$$\text{Goodwill} = \text{Average profit} \times \text{Number of years' purchase}$$

$$\text{Average profit} = \frac{\text{Total profits of past years}}{\text{Number of years}}$$

$$\text{Weighted average} = \frac{P_1W_1 + P_2W_2 + P_3W_3}{W_1 + W_2 + W_3}$$

Letters: P = each year's profit; W = the weight given to that year (recent years get bigger weights). Use the weighted version when profits show a clear rising or falling trend.

WORKED EXAMPLE — SIMPLE AND WEIGHTED

Profits of four years: ₹40,000; ₹50,000; ₹60,000; ₹70,000. Goodwill at 3 years' purchase.

- **Simple average:** (40,000 + 50,000 + 60,000 + 70,000) ÷ 4 = 2,20,000 ÷ 4 = ₹55,000. Goodwill = 55,000 × 3 = **₹1,65,000**.
- **Weighted average (weights 1, 2, 3, 4):** products = 40,000 + 1,00,000 + 1,80,000 + 2,80,000 = ₹6,00,000; weights = 10. Weighted average = 6,00,000 ÷ 10 = ₹60,000. Goodwill = 60,000 × 3 = **₹1,80,000**.
- **Why the weighted figure is higher:** recent, bigger profits count for more — the trend is upward, and the weighted method respects that.

- **Adjust the profits first:** strip out non-operating income (rent received, interest on investments) and one-off windfalls — only normal trading profits belong in the average.
- **Choice of years' purchase:** the multiplier is agreed between the partners; a longer purchase period means a bigger goodwill figure.
- **When the trend matters:** profits rising or falling steadily? Switch to the weighted average, where recent years count for more.

Method 2: Super profit method

SUPER PROFIT METHOD

$$\text{Normal profit} = \text{Capital employed} \times \frac{\text{NRR}}{100}$$

$$\text{Super profit} = \text{Average actual profit} - \text{Normal profit}$$

$$\text{Goodwill} = \text{Super profit} \times \text{Number of years' purchase}$$

Letters: NRR = normal rate of return, the return a typical business of this kind earns. Super profit is the **extra** earning power — goodwill prices the extra, not the whole profit.

WORKED EXAMPLE — PRICING THE EXTRA

Capital employed ₹4,00,000. Normal rate of return 10%. Average actual profit ₹52,000. Goodwill at 3 years' purchase of super profit.

- **Normal profit:** 4,00,000 × 10/100 = ₹40,000.
- **Super profit:** 52,000 − 40,000 = ₹12,000.
- **Goodwill:** 12,000 × 3 = **₹36,000**.

If the actual profit had been exactly ₹40,000, super profit would be zero — and goodwill would be **nil**. No extra earning, no goodwill.

Method 3: Capitalisation methods

CAPITALISATION OF AVERAGE PROFIT

$$\text{Capitalised value} = \text{Average profit} \times \frac{100}{\text{NRR}}$$

$$\text{Goodwill} = \text{Capitalised value} - \text{Net assets}$$

$$\text{Net assets} = \text{All assets} - \text{Outside liabilities}$$

Exclude goodwill itself, fictitious assets and non-trading investments from the asset side. Goodwill here is the **gap** between what the firm is worth by its profits and what it actually owns.

CAPITALISATION OF SUPER PROFIT

$$\text{Goodwill} = \text{Super profit} \times \frac{100}{\text{NRR}}$$

Same idea, one step shorter: instead of comparing values, capitalise the **extra** profit directly at the normal rate.

- **Read the question's wording:** "capitalise the average profit" sends you to the first box; "capitalise the super profit" sends you to the second.

- **Both routes must agree:** for the same firm, the two capitalisation methods land on the same goodwill — a built-in self-check for your own arithmetic.

WORKED EXAMPLE — BOTH ROUTES, ONE ANSWER

Average profit ₹60,000; normal rate of return 10%; net assets ₹5,50,000.

- **Capitalisation of average profit:** capitalised value = 60,000 × 100/10 = ₹6,00,000. Goodwill = 6,00,000 − 5,50,000 = **₹50,000**.
- **Capitalisation of super profit:** normal profit = 5,50,000 × 10/100 = ₹55,000. Super profit = 60,000 − 55,000 = ₹5,000. Goodwill = 5,000 × 100/10

₹50,000.

- **Check:** both routes must agree — and they do. If they ever disagree in your working, one line of arithmetic has slipped.

Method	Core formula	Best when
Average profit	Average profit × years' purchase	Profits are steady and the past is a fair guide.
Super profit	(Actual − normal profit) × years' purchase	The firm clearly earns above the normal rate.
Capitalisation	Capitalised value − net assets	You want the whole-business view of value.

Admission of a Partner

A growing firm needs money and talent, and a newcomer has both. The moment he walks in, every old rule of sharing is renegotiated — **all existing partners must consent**, the old agreement ends, and a new agreement takes over. Admission is the busiest reconstitution event because it triggers **every** adjustment this chapter has taught: a new ratio, a goodwill premium, a fresh revaluation, reserve distribution and recut capitals.

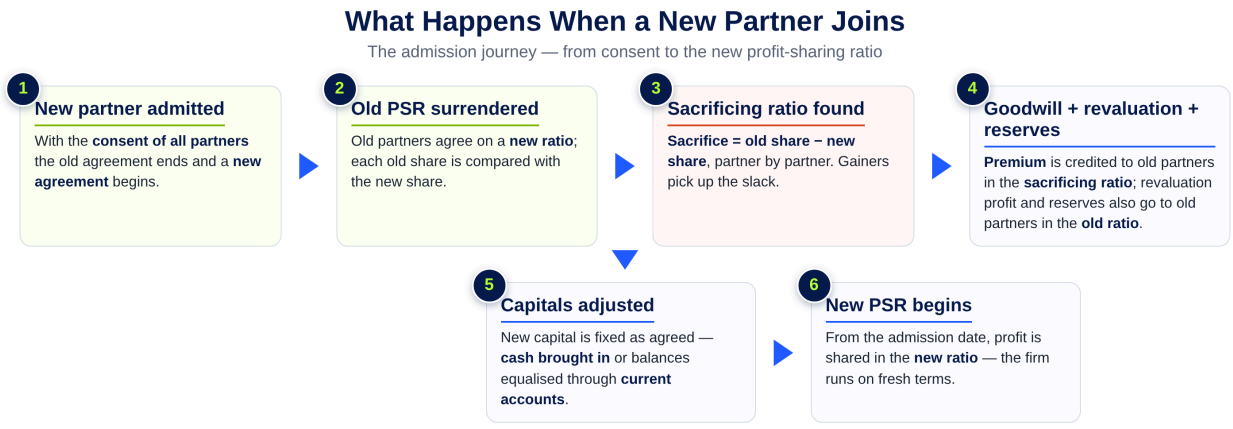


Figure 1: The admission journey — six stops from consent to the new profit-sharing ratio.

- **Two questions decide everything: how much share** the new partner gets, and **what he pays** for it.
- **Old partners sacrifice:** whatever share C now holds came out of A's and B's pockets — the sacrificing ratio measures those pockets.
- **Past profits stay past:** revaluation profit, reserves and accumulated profits belong to the old partners in the **old ratio**.
- **Future profit is shared fresh:** from the admission date, the **new ratio** rules.

New ratio and sacrificing ratio

WORKED EXAMPLE — THE NEW RATIO FALLS OUT OF THE SACRIFICES

A and B share 3 : 2. C is admitted for 1/6 of the profit. A gives up 1/10 of his old share-pattern and B gives up 1/15.

- **A's new share:** $3/5 - 1/10 = 6/10 - 1/10 = \mathbf{1/2}$.
- **B's new share:** $2/5 - 1/15 = 6/15 - 1/15 = \mathbf{1/3}$.
- **C's share: 1/6**.
- **New ratio:** $1/2 : 1/3 : 1/6 = \mathbf{3 : 2 : 1}$.
- **Sacrificing ratio:** $1/10 : 1/15 = \mathbf{3 : 2}$ — the ratio in which every goodwill rupee is split between A and B.

Notice the shortcut hiding here: when old partners sacrifice **in their old ratio**, the new ratio keeps the old one intact and simply appends the new partner's share.

Premium for goodwill: the four treatments

Case	Cash position	Treatment in the books
Premium paid privately	Money never enters the firm	No entry in the firm's books — the new partner pays the old partners directly.
Premium brought in cash and retained	Bank balance rises	Bank A/c Dr → Premium for Goodwill Cr; then Premium for Goodwill A/c Dr → Old partners' Capital A/cs (sacrificing ratio).
Premium brought in, then withdrawn	Bank rises, then falls	Same two entries as above; then Old partners' Capital A/cs Dr → Bank Cr (withdrawal).
Premium not brought in cash	Nothing reaches the bank	New partner's Current A/c Dr → Old partners' Capital A/cs Cr (sacrificing ratio) — his goodwill debt sits in his current account.

The premium always ends up **credited to the old partners in the sacrificing ratio** — the only question is which route it took through the books.

Revaluation, reserves and capitals at admission

- **Revaluation runs as usual:** the Revaluation Account is prepared exactly as earlier in this chapter, and its profit or loss goes to the **old partners in the old ratio** — the new partner receives nothing and bears nothing.
- **Reserves move the same way:** General Reserve, P&L balance, Workmen Compensation Fund and Investment Fluctuation Fund are adjusted among **old partners in the old ratio**, exactly as the reserve section showed.
- **Capitals are then recut:** the partners fix the new capital structure — either each partner's capital is made **proportionate** to his share, or the new partner simply brings the agreed amount.

PROPORTIONATE CAPITAL OF THE NEW PARTNER

$$\text{Total capital of the new firm} = \text{Combined adjusted capitals of old partners} \times \frac{6}{5}$$

$$\text{New partner's capital} = \text{Total capital} \times \text{his share}$$

The 6/5 appears because when the new partner takes 1/6, the old partners together hold 5/6 — their combined adjusted capital **represents** 5/6 of the new total.

One complete worked example

WORKED EXAMPLE — ADMISSION FROM FIRST ENTRY TO FINAL CAPITAL

A and B share profits 3 : 2, capitals ₹1,50,000 and ₹1,00,000. Books show General Reserve ₹25,000 and P&L credit balance ₹10,000. C is admitted for 1/6 share; the new ratio is 3 : 2 : 1 (sacrifices 1/10 by A, 1/15 by B). Firm goodwill is valued at ₹1,80,000. Revaluation: Land & Building up ₹20,000; Machinery down ₹5,000; creditors now payable ₹2,000 less. C is to bring his proportionate capital and his premium in cash.

- **Premium:** 1/6 × 1,80,000 = ₹30,000 → A gets 30,000 × 3/5 = **₹18,000**; B gets **₹12,000**.
- **Revaluation profit:** 20,000 − 5,000 + 2,000 = **₹17,000** → A ₹10,200, B ₹6,800.
- **Reserves:** GR 25,000 → A ₹15,000, B ₹10,000; P&L 10,000 → A ₹6,000, B ₹4,000.
- **Adjusted capitals:** A = 1,50,000 + 18,000 + 15,000 + 6,000 + 10,200 = **₹1,99,200**; B = 1,00,000 + 12,000 + 10,000 + 4,000 + 6,800 = **₹1,32,800**.
- **Total capital of the new firm:** (1,99,200 + 1,32,800) × 6/5 = 3,32,000 × 6/5 = **₹3,98,400**; C's capital = 3,98,400 × 1/6 = **₹66,400**.
- **C pays in:** 66,400 (capital) + 30,000 (premium) = **₹96,400**.

Journal entry	Dr (₹)	Cr (₹)
Bank A/c … Dr.	96,400	
To C's Capital A/c		66,400

Journal entry	Dr (₹)	Cr (₹)
To Premium for Goodwill A/c		30,000
Premium for Goodwill A/c … Dr.	30,000	
To A's Capital A/c		18,000
To B's Capital A/c		12,000
General Reserve A/c … Dr.	25,000	
To A's Capital A/c		15,000
To B's Capital A/c		10,000
Profit & Loss A/c … Dr.	10,000	
To A's Capital A/c		6,000
To B's Capital A/c		4,000
Land & Building A/c … Dr.	20,000	
To Revaluation A/c		20,000
Revaluation A/c … Dr.	7,000	
To Machinery A/c		5,000
To Creditors A/c		2,000
Revaluation A/c … Dr.	17,000	
To A's Capital A/c		10,200
To B's Capital A/c		6,800

Every debit equals its credits: 96,400; 30,000; 25,000; 10,000; 20,000; 7,000; 17,000. The books now carry three capitals — ₹1,99,200, ₹1,32,800 and ₹66,400 — and the new 3 : 2 : 1 ratio takes over.

Retirement and Death of a Partner

A partner retires, or death takes him away. Either way the firm does not close — the remaining partners carry on, and the outgoing partner (or his family) must be **paid out fully and fairly**. Retirement and death run on the same machinery as admission, with one big flip: instead of **sacrificing**, the continuing partners are now **gaining** — and they pay for what they gain.

- **Gaining ratio replaces sacrificing ratio:** at retirement, gain = new share − old share, for each continuing partner.
- **The outgoing partner's claim is built in parts:** capital, goodwill, revaluation profit, reserves — less anything he owes the firm.

- **Goodwill is paid by the gainers:** the continuing partners compensate the outgoing partner **in the gaining ratio**.
- **On death, the claim passes to the executor:** the legal representative receives the balance through an **Executor's Account**, often paid as a loan in instalments.

Two ideas run this section, and both are mirrors of ideas you already own from admission. The first is the **gaining ratio** — admission made old partners give share up, retirement makes the continuing partners pick share up. The second is the **outgoing partner's claim** — a tidy list of additions and deductions that ends in one number, and on death walks into the executor's hands.

- **Nothing is estimated:** every rupee of the claim is traced to a book figure — capital, goodwill share, revaluation profit, reserves, minus drawings.

Gaining ratio and the goodwill payment

WORKED EXAMPLE — WHO PAYS THE OUTGOING PARTNER

A, B and C share 5 : 3 : 2. B retires; A and C will share future profits 3 : 2. Firm's goodwill is valued at ₹1,50,000.

- **New shares:** A — 3/5; C — 2/5. **Old shares:** A — 1/2; C — 1/5.
- **A gains:** $3/5 - 1/2 = 1/10$. **C gains:** $2/5 - 1/5 = 1/5$.
- **Gaining ratio:** $1/10 : 1/5 =$ **1 : 2**.
- **B's goodwill share:** $3/10 \times 1{,}50{,}000 =$ **₹45,000**.
- **Split in the gaining ratio:** A pays $45{,}000 \times 1/3 =$ **₹15,000**; C pays $45{,}000 \times 2/3 =$ **₹30,000**.
- **Entry:** A's Capital A/c Dr ₹15,000; C's Capital A/c Dr ₹30,000 — To B's Capital A/c ₹45,000.

Building the retiring partner's claim

Added to the claim	Deducted from the claim
Credit balance of Capital (and Current) A/c	Drawings and interest on drawings
Interest on capital and salary due	Share of accumulated losses (debit P&L balance)
Share of goodwill (in the gaining ratio of gainers)	Any loan the partner owes the firm
Share of revaluation profit and reserves	

Death of a partner: the executor's chain

- **Executor's Account:** on death, the deceased partner's Capital Account is closed and its balance is transferred to the **Executor's Account** — the legal representative's claim.
- **The balance usually becomes a loan:** unless paid at once, the executor's balance is moved to the **Executor's Loan Account**, which earns **interest**.

- **Interest at 6% p.a. by default:** when the deed is silent, the loan to the executor carries 6% per annum until it is repaid.
- **Instalment repayment:** the loan is often cleared in equal yearly instalments, with interest charged on the **balance still outstanding** — so the interest bill shrinks every year.

WORKED EXAMPLE — EXECUTOR PAID IN TWO INSTALMENTS WITH INTEREST

R dies on 31 March. His claim is built as: capital ₹80,000 + share of goodwill ₹25,000 + share of revaluation profit ₹9,000 + share of reserves ₹6,000 = **₹1,20,000**, due to his executor. The firm pays in two equal annual instalments with interest at 6% p.a. on the outstanding balance.

- **Year 1 interest:** 1,20,000 × 6/100 = **₹7,200**. Payment = 60,000 + 7,200 = **₹67,200**. Balance left: 1,20,000 − 60,000 = ₹60,000.
- **Year 2 interest:** 60,000 × 6/100 = **₹3,600**. Payment = 60,000 + 3,600 = **₹63,600**. Loan fully cleared.
- **Total paid:** 67,200 + 63,600 = **₹1,30,800** — principal ₹1,20,000 plus interest ₹10,800.

Executor's Loan Account

Dr. Particulars	₹	Cr. Particulars	₹
To Bank — 1st instalment + interest	67,200	By R's Capital A/c	1,20,000
To Bank — 2nd instalment + interest	63,600	By Interest on loan — year 1	7,200
		By Interest on loan — year 2	3,600
	1,30,800		1,30,800

- **Opening entry:** R's Capital A/c Dr ₹1,20,000 — To Executor's A/c ₹1,20,000.
- **Yearly interest entries:** Interest A/c Dr — To Executor's Loan A/c (₹7,200, then ₹3,600). Interest is a **charge** against the firm's profit, like any other loan interest.

Journal Entry Cheatsheet: the Whole Unit in One Table

JOURNAL ENTRY CHEATSHEET — UNIT II

Item	Debit	Credit
Premium for goodwill brought in cash	Bank A/c	Premium for Goodwill A/c
Premium given to old partners	Premium for Goodwill A/c	Old partners' Capital A/cs (sacrificing ratio)

Item	Debit	Credit
Premium not brought in cash	New partner's Current A/c	Old partners' Capital A/cs (sacrificing ratio)
Asset value rises	Asset A/c	Revaluation A/c
Asset value falls	Revaluation A/c	Asset A/c
Liability increases	Revaluation A/c	Liability A/c
Liability decreases	Liability A/c	Revaluation A/c
Revaluation profit closed	Revaluation A/c	Old partners' Capital A/cs (old ratio)
Revaluation loss closed	Old partners' Capital A/cs (old ratio)	Revaluation A/c
General Reserve distributed	General Reserve A/c	Old partners' Capital A/cs (old ratio)
P&L credit balance distributed	Profit & Loss A/c	Old partners' Capital A/cs (old ratio)
Accumulated loss adjusted	Old partners' Capital A/cs (old ratio)	Profit & Loss A/c
WCF claim exceeds the fund	Revaluation A/c	Claim for Compensation A/c
IFF fall exceeds the fund	Revaluation A/c	Investments A/c
Goodwill paid at retirement / death	Continuing partners' Capital A/cs (gaining ratio)	Outgoing partner's Capital A/c
Existing goodwill in books written off	All partners' Capital A/cs (old ratio)	Goodwill A/c
Capital balance on death transferred	Deceased Partner's Capital A/c	Executor's A/c
Interest on executor's loan	Interest A/c	Executor's Loan A/c

Ratio rules to carry everywhere: sacrificing ratio = old − new; gaining ratio = new − old; revaluation profit and reserves always travel in the **old** ratio; goodwill compensation travels in the **sacrificing** ratio at admission and the **gaining** ratio at retirement; executor's loan earns 6% p.a. when the deed is silent.

Common Errors and Special Cases

COMMON ERRORS & SPECIAL CASES

The mistake students make	The correct treatment
Sharing revaluation profit with the incoming partner	Never. Revaluation profit/loss goes to the **old partners only**, in the **old ratio**.
Using the new ratio as the sacrificing ratio	Sacrifice = **old share − new share**, computed partner by partner; the new ratio alone tells you nothing.
Distributing reserves in the new ratio	Reserves and accumulated profits are always distributed in the **old ratio**.
Distributing the whole Workmen Compensation Fund when a claim exists	Provide the claim first; distribute only **fund − claim**. If the claim is bigger, the excess is debited to Revaluation A/c.
Crediting all partners to write off goodwill already in the books	Existing goodwill is **debited** to all partners (old ratio) and closed — it is removed, not created.
Charging retirement goodwill to all continuing partners equally	Only the **gaining** partners pay, in the **gaining** ratio (new − old).
Forgetting interest on the executor's loan	When the deed is silent, the loan earns **6% p.a.** from the date of death until each instalment is paid.

Three habits keep reconstitution sums safe, and all three are **checking** habits:

- **Recompute every ratio before using it** — old share, new share, sacrifice, gain — and confirm that the sacrifices exactly equal the gains.
- **Say who owns each pile of money** before passing an entry: old partners only, or all partners? The answer decides the ratio you distribute in.
- **Close what you open:** the Revaluation Account, Premium for Goodwill, WCF and IFF are all temporary accounts — none of them may carry a balance forward.

The Whole Chapter on One Page



Figure 2: Chapter mindmap — the six territories of Unit II and the three traps that catch most students.

Practice Questions

Q1. Which of the following events does **not** reconstitute a partnership firm?

(A) Admission of a new partner
(B) Retirement of a partner
(C) Dissolution of the firm
(D) Change in the profit-sharing ratio

Q2. A and B share profits 3 : 2. C is admitted and the new ratio is 5 : 3 : 2. The firm's goodwill is ₹1,00,000 and C brings his premium in cash. A's share of the premium is:

(A) ₹10,000
(B) ₹8,000
(C) ₹12,000
(D) ₹20,000

Q3. A, B and C share profits 3 : 2 : 1. A retires and B and C agree to share future profits 3 : 2. The gaining ratio of B and C is:

(A) 3 : 2
(B) 4 : 7
(C) 8 : 7
(D) 1 : 1

Q4. On reconstitution, the value of Land & Building rises by ₹50,000. In the books, this increase is:

(A) Debited to the Revaluation Account
(B) Debited to the old partners' Capital Accounts
(C) Ignored completely
(D) Credited to the Revaluation Account

Q5. Profits for three years were ₹45,000, ₹52,000 and ₹53,000. Goodwill is valued at 3 years' purchase of the average profit. The goodwill is:

(A) ₹1,35,000
(B) ₹1,65,000
(C) ₹50,000
(D) ₹1,50,000

Q6. Capital employed is ₹5,00,000, the normal rate of return is 10%, and the average actual profit is ₹62,000. Goodwill at 2 years' purchase of super profit is:

(A) ₹12,000
(B) ₹24,000
(C) ₹50,000
(D) ₹62,000

Q7. A firm has a Workmen Compensation Fund of ₹80,000. At the time of admission, a claim of ₹92,000 is admitted. The extra ₹12,000 is:

(A) Credited to the Revaluation Account
(B) Distributed among the old partners
(C) Debited to the Revaluation Account
(D) Borne by the new partner alone

Q8. C is admitted for a 1/4 share but cannot bring the premium for goodwill in cash. His share of goodwill is:

(A) Debited to his Current A/c, with the old partners' capitals credited in the sacrificing ratio
(B) Ignored, because no cash has entered the firm
(C) Debited to the old partners' Capital Accounts
(D) Shown in the Balance Sheet as the firm's goodwill

Q9. A deceased partner's executor is paid ₹1,00,000 in two equal annual instalments with 6% p.a. interest on the outstanding balance. The total interest paid over the two years is:

(A) ₹6,000
(B) ₹9,000
(C) ₹12,000
(D) ₹3,000

Q10. After all admission adjustments, the capitals of A and B (sharing 3 : 2) stand at ₹1,80,000 and ₹1,20,000. C is admitted for a 1/5 share and must bring his proportionate capital. C's capital is:

(A) ₹60,000
(B) ₹80,000
(C) ₹75,000
(D) ₹1,00,000

Solutions

Sol. Q1. Dissolution **closes** the firm; reconstitution keeps it running on new terms. Admission, retirement and a change in ratio all rewrite the agreement while the firm survives.

Answer: (C)

Sol. Q2. Old shares: A 3/5, B 2/5. New shares: A 5/10 = 1/2, B 3/10, C 1/5. Sacrifices: A — 3/5 − 1/2 = 1/10; B — 2/5 − 3/10 = 1/10 → sacrificing ratio 1 : 1. Premium = 1/5 × 1,00,000 = ₹20,000, split equally: A gets **₹10,000**.

Answer: (A)

Sol. Q3. Old shares: B 1/3, C 1/6. New shares: B 3/5, C 2/5. Gains: B — 3/5 − 1/3 = 4/15 = 8/30; C — 2/5 − 1/6 = 7/30. Gaining ratio = 8/30 : 7/30 = **8 : 7**.

Answer: (C)

Sol. Q4. A rise in an asset's value makes the firm richer, so it sits on the **credit** side: Land & Building A/c Dr — To Revaluation A/c. The increase is credited to the Revaluation Account.

Answer: (D)

Sol. Q5. Average profit = (45,000 + 52,000 + 53,000) ÷ 3 = 1,50,000 ÷ 3 = ₹50,000. Goodwill = 50,000 × 3 = **₹1,50,000**.

Answer: (D)

Sol. Q6. Normal profit = 5,00,000 × 10/100 = ₹50,000. Super profit = 62,000 − 50,000 = ₹12,000. Goodwill = 12,000 × 2 = **₹24,000**.

Answer: (B)

Sol. Q7. The fund absorbs the first ₹80,000 of the claim. The excess ₹12,000 is a fresh reconstitution-day loss, so it is **debited to the Revaluation Account** (old partners bear it in the old ratio).

Answer: (C)

Sol. Q8. When the premium is not brought in cash, the new partner's Current A/c is **debited** (his goodwill debt) and the old partners' capitals are **credited** in the sacrificing ratio. No cash moves.

Answer: (A)

Sol. Q9. Year 1: interest on ₹1,00,000 = 1,00,000 × 6/100 = ₹6,000; instalment ₹50,000 leaves ₹50,000. Year 2: interest = 50,000 × 6/100 = ₹3,000. Total interest = 6,000 + 3,000 = **₹9,000**.

Answer: (B)

Sol. Q10. Old partners' combined adjusted capital = 1,80,000 + 1,20,000 = ₹3,00,000, which represents 4/5 of the new total. Total capital = 3,00,000 × 5/4 = ₹3,75,000. C's capital = 3,75,000 × 1/5 = **₹75,000**.

Answer: (C)

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